

M&M;

18.5%
ROE

11.5%
ROCE

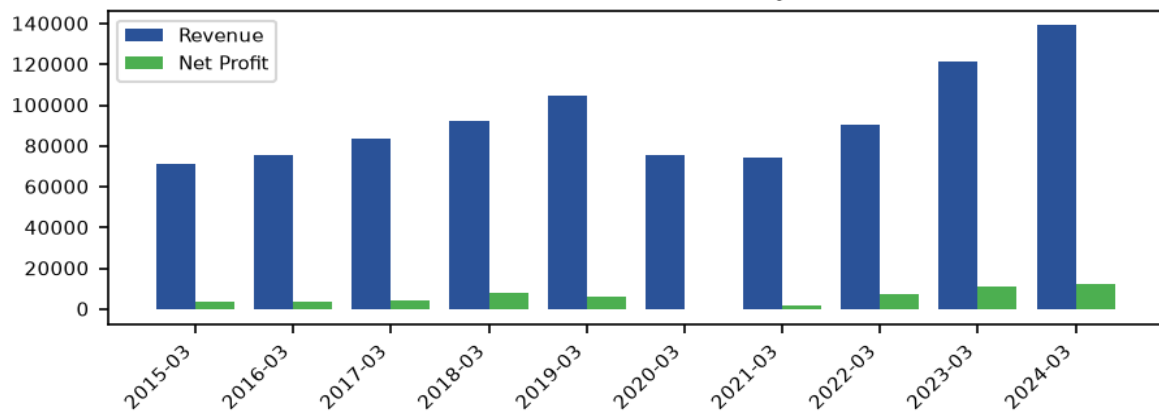
1.6x
D/E

5.8%
Revenue CAGR (5yr)

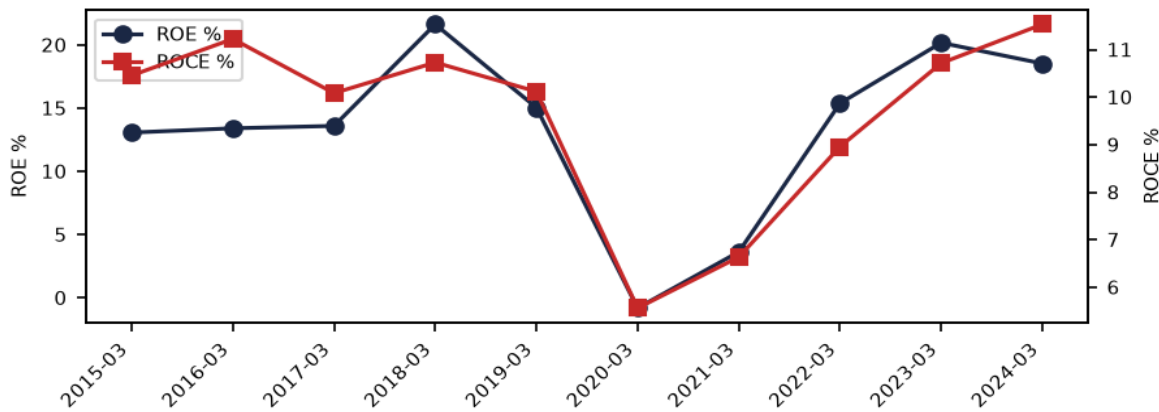
17.9%
OPM

8.8%
Net Profit Margin

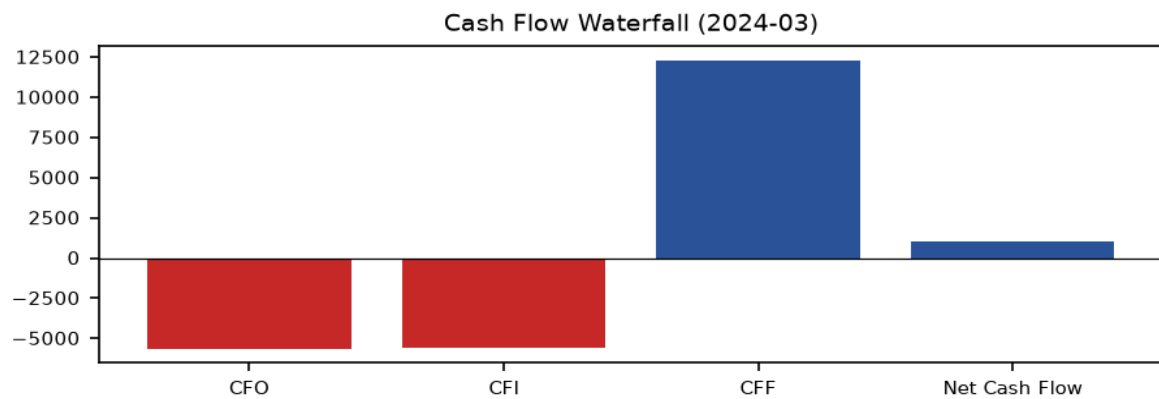
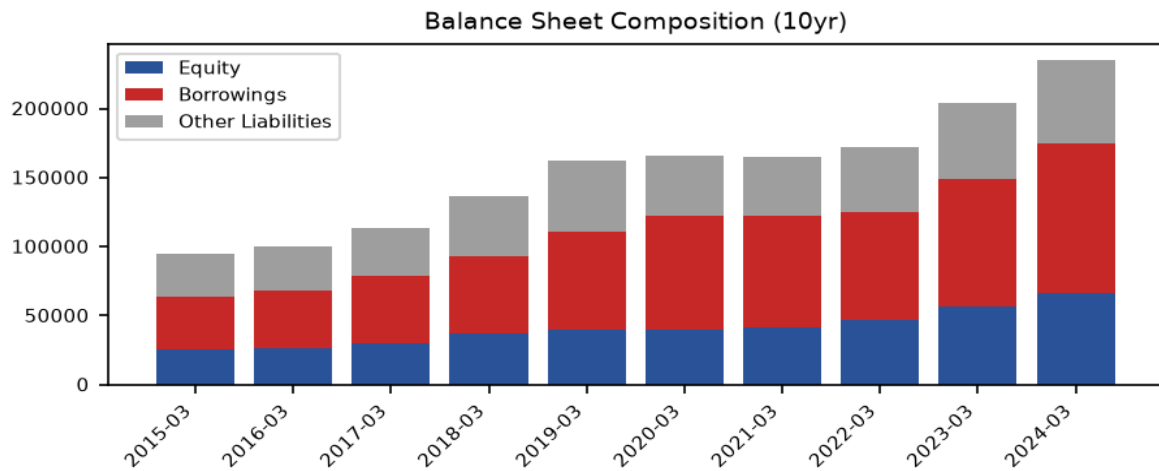
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



M&M;



Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow conversion below 100% of operating profit means some reported profit is not yet converting to cash

Capital Allocation Pattern: Growth Funded by Debt